Type MS · Net cash flow and closing balance

Answer 1 of 11 · Question 3 part c · 2 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **diseconomies of scale**. • The rise in average costs of production as a business grows too quickly **(1)**	**(1)**

Question Number	Outline **one** method of primary market research that *PPS* could use to gain feedback on its services. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a method of primary market research that *PPS* can use to gain feedback on its services, plus 1 further mark for linking it to the context of the question. • Animal owners who have used the pet hotel can be given a questionnaire **(1)** that *PPS* can use to identify possible changes to its kennels **(1)** **NB** Do not accept a method that is not in the context of *PPS*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the closing balance. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 22 000 – 20 000 = 2 000 **(1)** 16 000 + 2 000 = 18 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Net cash flow and closing balance

Answer 1 of 11 · Question 3 part c · 2 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the importance of reliable market research to obtain this information. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *PPS* will want to find accurate local data about pet owners so it can target its customers better • As *PPS* is a small business it may find it easier to speak to its customers individually to find out the needs of their pets **AO3** • This could lead to *PPS* understanding spending patterns of its customers • This could lead to *PPS* gaining more reliable data directly from its customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 1 of 11 · Question 3 part c · 2 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	*PPS* is considering two options: **Option 1:** using Rachel's personal savings **Option 2:** taking out a small bank loan. Justify which **one** of these two options *PPS* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Using personal savings gives *PPS* quick access to the €7 500 they need to buy the CCTV package and build the kennels • **Option 2** – *PPS* can apply for the €7 500 bank loan for an agreed period of time and at a fixed rate of interest **AO3** • **Option 1** – This means the money is readily available to allow for the quick building of kennels and installation of CCTV leading to increased revenue • **Option 2** – This means that *PPS* can spread the cost of repaying the €7 500 bank loan over a longer period of time whilst the new kennels are open **AO4** • **Option 1** – However, Rachel may not have enough savings so may need to look at other sources of finance as well as the personal savings and leaves the business without any surplus for emergencies • **Option 2** – However, interest has to be paid to the bank and this will add to *PPS* costs	**(9)**

Type MS · Net cash flow and closing balance

Answer 1 of 11 · Question 3 part c · 2 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Net cash flow and closing balance

Answer 1 of 11 · Question 3 part c · 2 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate the break-even level of output for this new line of dog treats. **Answer**	**Additional guidance**	**Mark**

Type MS · Net cash flow and closing balance

Answer 2 of 11 · Question 3 part c · 2 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for the correct definition of liquidity. • Liquidity is how easily a business can change its assets into cash (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** Award 1 mark for identifying a possible financial objective *TADS* might have. One further mark for outlining it in the context of the business. • Ollie is looking to increase his profits (1). He could do this by increasing the number of instruments taught (1).	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 – 2 marks** Net cash flow = 7 000 – 3 000 = 4 000 (1) Closing balance = 4 000 + 4 000 = 8 000 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Net cash flow and closing balance

Answer 2 of 11 · Question 3 part c · 2 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **A02** • If *TADS* has sufficient cash it can pay its electricity bills for the music studio. • If *TADS* runs out of cash it means it cannot pay its music teachers. **A03** • If *TADS* cannot afford to pay its bills, then the electricity would be cut and no lessons could take place. • If *TADS* can no longer pay its teachers, it cannot offer any music lessons.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 2 of 11 · Question 3 part c · 2 marks

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Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Teaching other musical instruments will bring in new music students and revenue. • Option 2 – By offering online lessons more students will be able to take drum lessons and therefore increase revenue. **AO3** • Option 1 – This would increase its target market due to the wider range of musical instruments being offered leading to an increase in revenue. • Option 2 – This would increase revenue as more students can be taught at the same time in different locations around the country and the world. **AO4** • Option 1 – However, although this may lead to more revenue for the business it would need to find and pay additional teachers to provide this service. • Option 2 – However, there could be technical issues that might lead to lessons being interrupted and not delivered, giving *TADS* a bad reputation.	**(9)**

Type MS · Net cash flow and closing balance

Answer 2 of 11 · Question 3 part c · 2 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Net cash flow and closing balance

Answer 2 of 11 · Question 3 part c · 2 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 3 of 11 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
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Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 4 of 11 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Pay suppliers later** **A –** this is not correct because it will decrease cash-flow **B** – this is not correct because it could increase cash-flow in the long-term but not immediately **C** – this is not correct because it will decrease cash-flow	**(1)**

Question Number	Which **one** of the following is an example of primary market research? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Postal survey** **A –** this is not correct because it is an example of secondary market research **C –** this is not correct because it is an example of secondary market research **D** - this is not correct as it is an example of secondary market research	**(1)**

Question Number	Which **one** of the following is a fixed cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A – Rent** **B** – this is not correct because it is a variable cost **C** – this is not correct because it is a variable cost **D** – this is not correct because it is a variable cost	**(1)**

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is used to calculate the break-even point? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is D – Fixed costs ÷ (selling price – variable costs)** **A –** this is not correct because it is does not calculate the break-even point **B –** this is not correct because it is does not calculate the break-even point **D –** this is not correct because it is does not calculate the break-even point	**(1)**

Question Number	Which **one** of the following is the total cost in euros of buying 2 weeks of salmon? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – €448.58** **A –** this is not correct because it is the cost of 10kgs of salmon in pounds **B –** this is not correct because it is the cost of 10kgs of salmon in euros **C –** this is not correct because it is the cost of 20kgs of salmon in pounds	**(1)**

Question Number	Which **one** of the following is the markup of prawns? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – 19.1%** **A –** this is not correct because it is the cost of a kilogram of prawns as a percentage **B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage **D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage	**(1)**

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **job production** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • When an item is made and finished before the next one is started **(1)**	**(1)**

Question Number	Define the term **diseconomies of scale** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • Rising average costs as units increase **(1)**	**(1)**

Question Number	State **one** method *Can Culleretes* could use to collect quantitative market research. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.* • *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Calculate the net cash flow for *Can Culleretes*. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 4 600 – 3 000 **(1)** = 1 600 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business of improving communication with its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the likely impact on productivity if *Can Culleretes* launch this app. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The app means waiters do not have to take orders at the customer's table • As soon as customers place the order the kitchen will receive the order immediately **AO3** • This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders • This will increase productivity as it will make for a more efficient ordering system for the restaurant	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 5 of 11 · Question 1 part e · 2 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** impact that government legislation could have on *Can Culleretes*. **Answer**	**Mark**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.iii in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Net cash flow and closing balance

Answer 6 of 11 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	**Mark**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Net cash flow and closing balance

Answer 7 of 11 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	**Mark**

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **legislation.** • A law put in place to protect individuals or businesses **(1)**	**(1)**

Question Number	Outline **one** reason why *Saha* may dismiss an employee. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Saha* may dismiss an employee, plus 1 mark for development in the context of the business. • *Saha* could dismiss an employee who continually arrives late on the production line **(1)** which causes delays in delivery of robots to restaurants **(1)** **NB** Do not accept a reason that is not in the context of Saha. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the cash outflow. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** **18000 (2)** If correct answer not given award marks for workings: 24 000 + 5 000 = 29 000 **(1)** **Or** 29 000 – 11 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Analyse **two** possible reasons that may lead to business failure for *Saha.* **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There are many new competitors, such as *NIO,* entering the robot market who are challenging *Saha* for market share • As *Saha* has ambitious plans to expand to other continents it may encounter cash flow problems due to the increased amounts of outflows required to pay for advertising/materials **AO3** • This may lead to *Saha* losing customers because it is not being competitive if other businesses such as *NIO* or *Zoox* develop robots that are technologically superior or less expensive • This could lead to a shortage of cash/ liquidity problems for *Saha* leading to its insolvency	**(6)**

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	*Saha* is planning to develop a new range of robots aimed at helping people in the home with cleaning, shopping, security and entertainment. It is considering two pricing methods for these robots: **Option 1:** price skimming **Option 2:** cost plus pricing. Justify which **one** of these two options *Saha* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a price skimming strategy enables *Saha* to charge a high price for its new robots designed for the home • **Option 2** – Cost plus pricing ensures all costs involved in the manufacture of robots such as metal and assembly costs are considered when setting a price **AO3** • **Option 1** – Charging a high price will allow *Saha* to recover its research and development costs which can be reinvested into its business for further expansion/new designs • **Option 2** – assuming the robots are sold, *Saha* will be guaranteed to make a profit due to the mark-up it adds to the cost of producing the robots **AO4** • **Option 1** – However, if the price is considered too high for its target audience it may lose sales to competitors such as *Zoox* or *Vention* • **Option 2** – However, the price charged does not take into consideration the price the customer is willing to pay, which may potentially limit revenue/profit	**(9)**

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Net cash flow and closing balance

Answer 8 of 11 · Question 3 part c · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working. **Answer**	Additional guidance	Mark

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale**. • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix. **Answer**	**Mark**
3 (b)	**AO2 - 2 marks** Award up to 2 marks for linked points outlining a way quantitative research data might help *Four Fitness* improve its marketing mix Award a maximum of 1 mark if points are not linked. • An online survey can gather data on how much people are willing to pay for gym membership **(1)** which could lead to a reduction in price to entice new members **(1)** **NB** To award 2 marks there must be linked points and evidence of application **Accept any other appropriate response.**	**(2)**

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Calculate the net cash flow balance. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 11 400 **(2)** 60 000 – 48 600 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Question Number	Analyse the benefits to *Four Fitness* of recruiting externally. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It may be useful as it could give a wider field of experienced Marketing Managers who can market the gyms within Italy • It may not be useful as it can be expensive as Gianni will have to advertise, shortlist and interview candidates and it will take him away from his work with the other two gyms **AO3** • This could lead to new ideas giving *Four Fitness* a competitive edge and improving the performance of the business by someone who specialises in marketing • This could lead to the current employees feeling overlooked for the role leaving them demotivated and risking them looking somewhere else to work	**(6)**

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Gianni Polvani operates *Four Fitness* as a sole trader. He is considering a change to the ownership of the business and is looking at two options: **Option 1:** a partnership with three of his employees **Option 2:** a private limited company. Justify which **one** of these two options Gianni should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – He will have like-minded health professionals to share the decision making who already work for *Four Fitness* • **Option 2** – Gianni will now have limited liability as will his new shareholders of the gyms **AO3** • **Option 1** – This means they already have knowledge of what works and what does not so can make better decisions for the business • **Option 2** – This means he could take more risks with the business than if he had unlimited liability as a sole trader **AO4** • **Option 1** – However, the decision making maybe wrong because the employees do not have sufficient business experience • **Option 2** – However, he will have to find people interested in the business who want to become shareholders when setting up a private limited company and this might be difficult as it is a small business	**(9)**

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Net cash flow and closing balance

Answer 9 of 11 · Question 3 part c · 2 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the gross profit margin. **Answer**	Additional guidance	Mark

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Net cash flow and closing balance

Answer 10 of 11 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

4

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

5

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part a.v in this mark scheme extract

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

7

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part a.v in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

8

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part a.v in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

9

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
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Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

10

Type MS · Net cash flow and closing balance

Answer 11 of 11 · Question 1 part a.v · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part a.v in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**